

into their schemes. Their operations often involve sophisticated impersonation, fake documentation, and high-pressure tactics to extract money.

1. Ads promising quick loan approvals

Scammers use online advertisements, SMS, and social media campaigns to promote “instant loans” with minimal paperwork. These ads often claim:

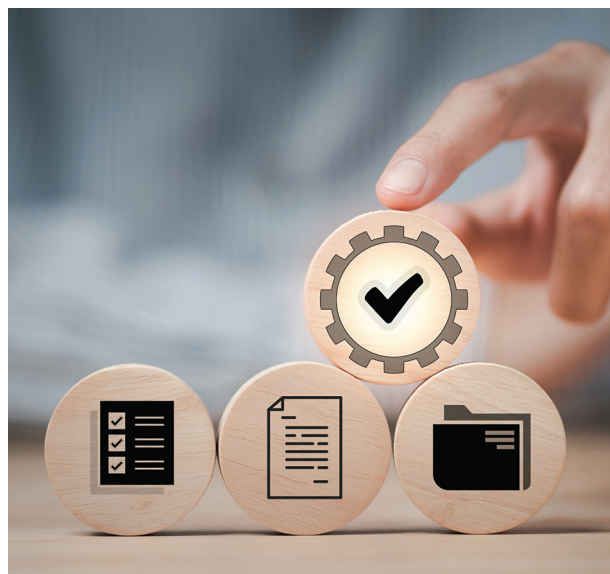
- **“Loan approved in minutes!”**
- **“No credit check required!”**
- **“Get up to ₹10 lakh with no documents!”**

The goal is to create urgency and attract individuals who may not qualify for traditional loans. Clicking on these ads redirects victims to fraudulent websites or WhatsApp chatbots, where they are asked to submit personal information and pay a processing fee.

2. Upfront fees for “Processing” a loan

A common tactic used by scammers is demanding advance payments under various pretexts, such as:

- Processing charges
- Security deposits
- Loan insurance fees
- Government verification charges



Once the victim makes the payment, the scammer either disappears or continues asking for additional fees until the borrower realizes they have been duped.

3. Impersonation of Legitimate Lending Institutions

Fraudsters often pretend to be representatives of reputed banks, NBFCs (Non-Banking Financial Companies), or digital lending platforms. They use:

- Fake customer service numbers on Google listings
- Counterfeit loan sanction letters with official-looking logos
- Spoofed emails and websites mimicking banks

Victims, believing they are dealing with a legitimate lender, end up paying upfront fees or sharing sensitive details like Aadhaar and PAN card information, which can lead to identity theft.

Red flags to watch for

Understanding the warning signs of loan fraud is essential for avoiding financial loss. Here are some key indicators that an offer might be a scam:

1. No proper KYC requirements

Legitimate financial institutions follow strict Know Your Customer (KYC) protocols, requiring proof of identity, address, and financial history. If a lender claims they can approve a loan without any verification, it's likely a scam.

2. Unofficial communication channels (e.g., WhatsApp, Telegram, SMS)

Scammers often reach out through WhatsApp or Telegram instead of official banking channels. If a lender insists on handling the entire loan process via informal communication, be cautious.

3. Demands for advance payments

Any loan provider asking for money before disbursing a loan is fraudulent. Banks and NBFCs deduct processing fees from the sanctioned amount rather than requiring upfront payments.

Real-world examples

Fraudulent loan and EMI relief schemes have impacted thousands of individuals across India. Below are some notable cases:

Victims paying advance fees for loans that never materialized

In a high-profile case reported by The Times of India, a Mumbai-based professional lost ₹1.2 lakh to a fake lending company that promised a ₹10 lakh loan. The scammers, posing as bank executives, sent an official-looking loan agreement and requested an upfront security deposit. After the payment, the victim received no further communication.

Fake RBI-approved loan schemes

Scammers have been known to misuse the name of the Reserve Bank of India (RBI) to gain credibility. Fraudulent schemes claim to be “RBI-verified” and ask victims to transfer funds for government-approved loan disbursements. However, RBI has repeatedly clarified that it does not directly offer loans or charge any fees.